FreshWay — Department file: E-commerce

Smart Logistics (EDSLOG.24) · autumn 2026

This is **your department's file**. Every department has one; you only receive your own. If you need a figure from a neighbouring department, ask them — that is what the Data Council and the Interface Agreements are for.

Alongside this file you have the **public Company dossier** (the company as a whole, the network, the cost structure, the IT landscape), which everyone has. Anything in neither document can be requested from the Executive Board with an **Information Request**; the *Board archive index* lists what exists.

Units matter. Shrink appears twice in this company: in **kilograms** against purchase volume, and in **euros** at cost. They are different numbers. Every figure below says which.

Read the KPI table with this in mind. Every KPI carries a label:

Label	Meaning
measure	not printed here on purpose — this value is in the dataset you receive in lesson 3. Measuring it is part of your work, and a department that reports its own KPI without having measured it will be asked how it knows.
N	a **norm**: what the company has set as its target. A norm is policy, not a measurement — you may argue it is wrong.
S	a **design assumption**: plausible, internally consistent, not measured. If you build a business case on it, say so.

Almost every "now" value sits below its norm. That is deliberate: a company that already meets all its targets gives you nothing to design for.

What we do. The online channel: assortment, the availability we show, the substitution policy, delivery slots and their price, and the demand forecast for online. We hold the **FreshWay Customer Promise** for the whole company. *Before the van leaves, it is ours; after it leaves, it is Delivery to consumers.*

> **What the Customer Promise has to contain.** Which windows we offer and at what price · what availability we show online · what we substitute when we cannot supply · what freshness we claim ·

> what happens when we miss · and — **required, version 1 in lesson 3** — a **peak policy**: what we do in the weeks when demand exceeds what the fleet can drive. Which windows we close, which we reprice, which part of the promise we suspend, and who signs that off. Delivery to consumers prices that policy in SA8; a promise without a peak policy is not a promise the company can keep.

Volumes	Value	Unit
Online revenue	**€243 mln incl. VAT** = 10% of the chain	€
Orders	**2.55 mln per year · 49,100 per week · ~6,990 per day** (seven days)	orders
Average order value	**€95**	€ incl. VAT
Lines per order	42	lines
Crates per order	3	crates
Range online	18,000	SKU
Delivery slots	2 hours, 07:00-22:00, seven days · €0-6.95 depending on the slot	
Click & collect	**18% of orders**, via 30 stores — collected, not delivered, so they never take a slot on a van	
Slot fill rate	*measure* (D3b, per site per window)	**band: 92-100%** · N — below 92% we paid for capacity we did not sell; **above 100% the window was oversold** and someone else had to find the vans

KPI	Now	Target
Order fill rate	**96.5%**	98%
Lines substituted / missing	*measure*	**< 2.0% / < 0.5%** · N
Online food waste	0.35% of purchase volume (kg)	**0.25%** · N
Conversion	**3.2%** · S	**4.0%** · N
Customer rating	*measure*	**4.5 of 5** · N
Repeat rate	**72%** of orders from returning customers · S	**78%** · N

Systems. E-commerce platform and OMS with a manual slot capacity setting. *What they do not do:* slot capacity is not linked to picking or delivery capacity, the stock view to the webshop lags 30 minutes, and customer data sits outside the BI environment.

People. Part of the ~850 headcount (~575 FTE) across e-fulfilment and delivery. **Cost per unit: €17 per order** in total — €5 picking plus €12 delivery — against **€27 of gross margin per order**. Customer acquisition **€38 per new customer** (S) and customer service **€1.10 per order** (S).

Do the sum: €27 margin minus €17 fulfilment leaves €10 per order, so a new customer pays for their own acquisition after about four orders. That is why the repeat rate above is a logistics number, not a marketing number.

> **Our channel is roughly break-even, and that is the point.** Online generates about €70 mln of gross margin and costs about €44 mln in fulfilment and delivery. What remains still has to cover IT, marketing, customer service and overhead. **Every promise we tighten has to be paid for somewhere.**

Our main problems.

1. We set slot capacity by hand and by feel — roughly the same number of windows every day, all week — and every choice we make lands as workload on Orderpicking and Delivery, who run a fleet with **no spare capacity at all**. Customers do not spread themselves evenly across the day, and we have never checked our offer against our demand window by window. We can sell a slot that nobody can drive.
2. We promise freshness online that nobody in the chain has specified.
3. When a promotion runs, our forecast and our availability fall apart at the same time — and promotions are 22% of revenue.
4. **Our mistakes are counted against someone else.** When we substitute an item or cannot supply one, the customer complains to the driver at the door — so it lands in Delivery's complaint figures, not ours.

Neither of us has ever separated their delivery problems from our supply problems.

What we send / receive. *To Orderpicking:* order profile and cut-off times. *To Delivery to consumers:* the promise we made — window, freshness, communication. *From Inventory & SCM:* what may be shown as available. *From Storage:* what is genuinely available for the fresh promise. **Data we hold but do not use:** every abandoned basket and every slot that sold out, with a timestamp.

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*Figures come from the FreshWay figure sheet. Fields marked **measure** are in the data you receive in lesson 3. The problems in the list above are real and traceable in that data; if you cannot find them, you are looking in the wrong place or joining the wrong sets — and some of them cannot be found from your own data alone.*

> **GenAI transparency.** This department file was written with Claude (Anthropic) by the course team, based on the FreshWay case design and on verified benchmark research into Dutch grocery retail. All figures come from a separate, source-checked figure sheet; none were generated by the model. Human-AI Agency Label: **Co-Creator**. Label source: Boetje, J., & Baake, G. (2026). *Nine prototypical human-AI agency patterns* [Figure]. figshare. https://doi.org/10.6084/m9.figshare.31706884 (CC BY 4.0).
